

before charge.¹ Others, known as “no-load” funds, make no such charge; the managements are content with the usual investment-counsel fees for handling the capital. Since they cannot pay salesmen’s commissions, the size of the no-load funds tends to be on the low side.[†] The buying and selling prices of the *closed-end* funds are not fixed by the companies, but fluctuate in the open market as does the ordinary corporate stock.

Most of the companies operate under special provisions of the income-tax law, designed to relieve the shareholders from double taxation on their earnings. In effect, the funds must pay out virtually all their ordinary income—i.e., dividends and interest received, less expenses. In addition they can pay out their realized long-term profits on sales of investments—in the form of “capital-gains dividends”—which are treated by the shareholder as if they were his own security profits. (There is another option here, which we omit to avoid clutter.)[†] Nearly all the funds have but one class of security outstanding. A new wrinkle, introduced in 1967, divides the capitalization into a preferred issue, which will receive all the ordinary income, and a capital issue, or common stock, which will receive all the profits on security sales. (These are called “dual-purpose funds.”)^{*}

Many of the companies that state their primary aim is for capital gains concentrate on the purchase of the so-called “growth stocks,” and they often have the word “growth” in their name. Some specialize in a designated area such as chemicals, aviation, overseas investments; this is usually indicated in their titles.

The investor who wants to make an intelligent commitment in fund shares has thus a large and somewhat bewildering variety of choices before him—not too different from those offered in direct investment. In this chapter we shall deal with some major questions, viz:

1. Is there any way by which the investor can assure himself of better than average results by choosing the right funds? (Subquestion: What about the “performance funds”?)[†]

2. If not, how can he avoid choosing funds that will give him worse than average results?